PRESIDENT'S OFFICE, REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT; FORM IV MOCK ARUSHA

~~FORM FOUR MOCK~~

16 marks COMMERCE MARKING GUIDE

1.

(I)	(II)	(III)	(IV)	(V)	(VI)	(VII)	(VIII)	(IX)	(X)	
D	B	B	A	D	B	A	C	E	C	

2.

LIST A	(I)	(II)	(III)	(IV)	(V)	(VI)
LIST B	D	A	E	B	C	G

SECTION B (24 marks)

3. (4 items @ 2.25 marks = 9 marks)

(i) Cost of goods sold

Formula: COGS = Opening Stock + purchases − Closing Stock

120,000 + 150,000 − 100,000 = 170,000

∴ Cost of goods sold = 170,000

(ii) Gross profit

Formula: Gross profit = Net sales − Cost of goods sold

= 300,000 − 170,000 = 130,000

∴ Gross profit = 130,000

(iii) Gross Profit margin

formula: $\frac{\text{Gross profit}}{\text{Sales}}$

$= \frac{130,000}{300,000}$

∴ Gross profit margin = 0.43

(iv) Gross profit mark up

Formula $\frac{\text{Gross profit}}{\text{Cost of Sales}}$

$= \frac{130000}{170,00}$

∴ Gross profit mark up 0.76

4. Sources of business opportunities
   i) Customer complaints
   ii) Personal skills and experience
   iii) Surveys
   iv) Media
   v) Exhibition
   vi) Market trends
   vii) Change in technology

5. Barriers of effective Communication
   i) Physical barrier
   ii) Personal barrier
   iii) Semantic barrier
   iv) Cultural barrier
   v) Organizational barrier

6. Principles of management
   i) Division of work
   ii) Authority and Responsibility
   iii) Discipline
   iv) Unit of Command
   v) Unity of direction
   vi) Scalar Chain / Line of authority
   vii) Order
   viii) Equity
   ix) Span of Control
   x) Team Spirit
   xi) Initiative

7. Four factors affecting demand
   i) Change in Consumers ~~demand~~ income
   ii) Change in Price of related goods
   iii) Change in Consumer taste and preferences
   iv) Consumer expectation about future change in price
   v) Change in Population size.

7(b) Advantages of road transport in Tanzania
i. Cheap
ii. Speed
iii. flexible
iv). Route or Short Journey

8. Importance of entrepreneurship to the economy
i) Job creation
ii) Economic growth
iii) Innovation
iv) Improved Standard of Living
v) Government revenue.

SECTION C (30 marks) - Introduction (2 marks)
- Points (2 marks @ 6 points = 12 marks
- Conclusion (1 mark)
- Total 15 marks

9. Qualities of a Successful retailers
i. Should be polite in dealing with customers
ii. Should be good buyer
iii. Should be able to forecast customers demand
iv) Should be a good administrator
v) Should be honest to customer
vi) Should be Cooperative to Suppliers.

10. Benefit of partnership
i) Specialization
ii) freedom of action
iii) More fund
iv) Easy to form
v) Sharing of burden
vi) free to undertake any business
vii) Even distribution of work.

11. Sources of Capital for an entrepreneur
i) friend and relatives
ii) Debt financing
iii) Grants
iv) Crowd funding
v) financial bootstrapping
vi) Angel investors.